Weekly Market Summary

Executive Summary

- All major central banks (Fed, Euro, BoE) held their interest rates this week, opting to wait out geopolitical uncertainty despite accelerating inflation pressures
- The US GDP in Q2 slowed sharper than expected while prices surged, pushing the long-duration bond yields to multi-decade highs since 2007, lowering the likelihood of the Fed making rate cuts in September
- US and Saudi joined in airstrikes on Iranian assets in Iraq which triggered the price of oil to rebound back to $90 a barrel
- There was a rare currency market intervention as the US treasury liquidated Euros to purchase $5 to $10 billion to defend the Japanese Yen

Markets

- Equities: SNP and FTSE both increased by 1.41% and 0.81%, respectively.
- US 10 year increased 10 basis points, landing on 4.74%
- Commodities: Oil increased 1.12% and Gold decreased 0.69% during the week

Macro Activity

- Fed maintained rates in their July meeting despite the May CPI hitting 4.1% (versus its 2% target). Fed Chair Kevin Warsh cited robust macroeconomic resilience but faced internal friction, with three members dissenting and voting for immediate rate hikes. A potential consensus behind the hold was that Warsh wanted the market do the job of the Fed, despite claims he was acting too slow
- The market did indeed do the job for him as Q2 GDP came at a decelerated 1.5% annualised (down from 2.1% in Q1). However, June PCE inflation accelerated to 3.7% from 3.3% in May. The bond market reacted violently to this information: short-term yields fell on growth fears, while the 30-year surged to 5.23%, market its highest print since 2007.
- The Bank of England held their rates at 3.75%, warning that an extended Middle East war could drive UK inflation to 4.5% by mid-2027. Conversely, if Oil falls back to ~$70 a barrel, inflation is projected to peak at 3.2% later this year
- Prime Minister Andy Burnham announced a major fiscal decentralised plan, granting city-region mayors a share of national income tax (by 2028) and business rates (by April 2027). The plan will rely heavily on an equalisation safety net to mitigate regional wealth imbalances. Concurrently, welfare cuts targeting youth unemployment were introduced to self-fund escalating defence and social care programs without expanding public market public

Sector Updates:

- Energy: New government targets state that the nuclear infrastructure pipeline will require 250bn annually to achieve long-term public energy ambitions. The strait conflict has caused a lot of sovereigns, including Saudi Arabia, to reassess their concentration of fossil fuel energy.

Deals:

- Sainsburys agreed to sell its Argos retail division to Swift Partners for 120m. Full structural separation is slated for completion by 2029, with closing expected in early 2027

Week commencing 27 July 2026 market news:

Oil: 89
Gold: 4077
SNP: 7385
FTSE: 10781

Top Stories:

1. Ukraine v Russia and America v Iran is overlapping into two rival geopolitical blocs forming.
2. Price of oil drops to $88 a barrel as Iran and US pause strikes for peace talks
3. Burnham hosted Zelensky in Portsmouth to pledge his support by sharing the UK IP so Ukraine can produce the jammers at scale. This supports predictions that Burnham will spend a lot on defence which will push UK bonds yields higher, cheapening the pound.
4. Burnham aims to reduce the welfare bill by strengthening schools and employers to get more young people into work, and encouraging more people into. This will match his ambition to drive spending into other departments such as defence without going to the capital markets, increasing the deficit.

28th July 2026
Oil: 85
Gold: 4045
SNP: 7413
FTSE: 10825
US 10y: 4.64%

Top stories:

1. Trump is saying they have commenced in peace talks with Iran whilst Iran are denying those claims.
2. BoE said they will raise rates if energy prices remain high, slowing growth

29th July 2026
SNP: 7413
FTSE: 10920
10y: 4.64%
Oil: 87.17
Gold: 4100

Top stories:

1. Wall street banks are reporting strong Q2 profits boosted by trading activity
2. UK largest port operator two pension funds are selling their stakes which is leading to a sale to an Asian investor

3. Nuclear sector will need 250bn a year to grow to match governments ambitions.
4. Saudi joins US in strikes on Iran in Iraq after they claim militias attacked US forces and Saudi energy infrastructure
5. The Fed decided to hold rates in July despite elevated inflation and reiterated it would deliver price stability, something Kevin Warsh reiterated was his goal throughout his conference. The decision had three members calling for higher rates, which highlights the internal disagreement and add more uncertainty to the future policies. The data presented left the committee torn as how best for them to achieve their price stability goal. Warsh claimed that the American economy has shown impressive resilience to the global conflicts. If the geopolitical conflict, tariffs and the AI boom continues to test inflation, we can image the Fed being left no choice. Inflation registered at 4.1% in May (Fed has a 2% goal). US 30y jumped 0.14% to 5.23%, the highest level since 2007
6. Burham has raised the debate around who will be paying for englands social care system, which has imposed discussions around reforms

31th July 2026

SNP: 7437
FTSE: 10945
10y: 4.66
Oil: 89.5
Gold: 4111

Top stories:

1. BoE holds interest rates at 3.75% sighting that if Iran war drags out and oils prices remain significanty elevated UK inflation could be at 4.5% by mid 2027. Contrary, inflation forecasted to peak at 3.2% later this year if oil reachs $71. Uk inflation came in at 2.6% in June. Similar to Fed, the central banks are awaiting for see how the war plays out.
2. US GDP grew at 1.5% annaualised pace in Q2, down from 2.1% in Q1, showing that economic activity and demand are slowing down. This puts less pressure to hike rates to slowdown the economy as it is doing so itself. The bond markets reacted to this news with the 2y yields decreasing and the 10y rose to close to 4.7% showing investors fear of inflation remaining high. PCE price index rose to 3.7% in June from 3.3% in May, showing that inflation is increasing. Slower GDP and PCE are both above the Feds 2% target.
3. Eurozone inflation rose keeping the possibility of rate hikes alive.
4. Argos retail arm has been sold by Sainsbury for £120m to Swift partners with deal completion expected in early 2027 and full separation by 2029.
5. Burnham has given city region mayors a share of national income tax revenue and retained some business rates with a rate retention expected from April 2027 and income tax sharing in 2028. This could improve local economic growth but introduce challenges that may affect regional public spending. This will be very contigent on the equalisation safety net that will stop unfair economic imbalance

1/08/2026

SNP 7489
FTSE 10,868
10y 4.74%
Oil 90
Gold 4049

Top Stories.

1. US Treasury sold euros to buy 5-10bn in Japnese yen to defend the currency

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